**European Commission -
Speech**

Speech by President von der Leyen at the 2025 Berlin Global Dialogue

Berlin, 25 October 2025

"Check against delivery"

Dear Mr Röller,

Distinguished Guests,

Allow me to start by thanking Lars-Hendrik Röller for this invitation. We have known each other for many years in and out of government. So it is no surprise to me to see that the Berlin Global Dialogue has become such a prominent forum in such a short space of time. At the time, you were already grappling with some of the big questions for the global economy and our own growth models. The impact of globalisation and trade liberalisation. The future of trade and new technologies. Of course, the world has changed beyond recognition. But fundamentally, those questions are the same ones, leaders, policy makers and industry leaders are working on. Europe is facing up to another seismic change in the way the global economy works. We may be approaching a shift in the international order – one increasingly defined by power, whether economic, technological, or military. A world of imperial ambitions and hostile actors. A world of transactionalism and zero-sum games. A world in which the global economy as we know it is giving way to a permanent state of flux and disorder.

The point is: the world is changing faster than our policies. Our institutions must transform the ways they think, formulate policies, and make decisions to keep pace with a rapidly changing world. And this is what I want to touch on briefly today.

Before we can project strength abroad, we must renew at home. Europe faces profound challenges: economic slowdown, strategic vulnerabilities, threats to its independence and social model… But it also holds exceptional assets. Our task is to harness these strengths, to secure a strong, an independent, and cohesive Europe.

Ladies and Gentlemen,

In today's world speed and urgency are the key to competitiveness. We need both, long term vision and speed of action. We see that with the US, with China and with other emerging economies and sectors. The key for Europe in this world is to move faster, make business easier and invest in what makes us unique and strong. This is why we have put out a plan to radically speed up the completion of our Single Market. This is why we are targeting the bottlenecks that are holding our competitiveness back – from energy prices to investment and private capital. And it is why we have started a huge simplification drive. We need less complex rules, less overlaps, less forms to fill out. And we need to speed up across the board. An urgency mindset must drive all of our work.

Without any doubt – we have strengths! The stability of our unique Single Market. Our industries and innovators. Sought-after and valuable commodities in today's uncertain world. Europe is already an increasingly attractive proposition for investors. That is, for instance, thanks to the many high potential startups in key technologies like quantum, AI or biotech. But Europe's attractiveness extends far beyond its investment potential: it lies in its strong institutions, in its commitment to the rule of law, excellence in broad education and top research, a skilled workforce, and advanced infrastructure. This is making the European Union a uniquely balanced model in the world. But we all know that we have a problem with scale. As our startups grow, too often the limited availability of risk capital forces them to turn to foreign investors. This is wealth and sovereignty going elsewhere. But we want this investment to choose Europe. And we want to invest in the best of Europe. You are an innovative start-up? So, we have to make it easier for you to scale up throughout Europe's 27 Member States. But not with 27 different regulations. This is why we are preparing the so-called 28th regime for

innovative companies. One single and simple rule for the whole of the European Union. And because we want to invest in the best of Europe, we are speeding up our work on private capital. And it is why we are working on new financing models, for instance with private investors through a new Scaleup Europe Fund. We need to keep up the speed of what we have started. In a world where others move fast, Europe keep up the pace. And that is my first and most important message to leave with you today.

Ladies and Gentlemen,

This sense of realism and urgency is also driven by an underlying and fundamental reshaping of the world economy. We are in the middle of a systemic shift in how countries work with each other – and against each other. Every day, we see how the tools of traditional statecraft are being used to weaponize interdependencies and leverage alliances. To create chokeholds on countries and industries. To exert control and impose coercion on others. This goes to the heart of the title you have chosen for this year's Berlin Global Dialogue – "shifting power and shaping responsibility". The starting point here is that for centuries, while economic power has always mattered, power has always been measured on military might and territorial influence. Those who controlled borders and armies also controlled the balance of power in relations between countries and continents. And it would be wrong to say that this notion is outdated. Because we know that hard power is more important than ever in today's world. We have seen how countries like Russia or its autocratic allies use conflict as a tool to build empires and supremacy over others. Europe has learned how imperial ambitions, wars, undermining sovereignty of others lead in the end to disasters. Our project is different, but we cannot be naive and vulnerable. This is why Europe is investing so heavily in our military capabilities and in boosting our own defence industries. We will unlock up to EUR 800 billion in defence spending until 2030. That focus on deterrence and peace through strength is more important than ever.

But at the same time, we are seeing a shift towards something far more complex to grasp and defend against. This is new geoeconomics. Economics has become the central instrument of power in today's world. Those who control the economic levers are the ones who can exert control over others. The global supply chains. The new disruptive technologies. The capital flows and the key inputs for our industries and societies. As the dawn of globalisation promised, all of these tools can be used to create wealth, jobs and partnerships between countries. In fact, this was the spirit that eventually led to the creation of the World Trade Organization 30 years ago. When China joined the WTO a few years later, most of us hoped a new dawn of low tariffs and shared security and prosperity would emerge. And in a number of ways, this did deliver for a time – even if the benefits from it were not shared or spread evenly. But the cooperative world order we all expected or at least hoped for 25 years ago is being replaced by a confrontational global economy. Stealing technologies, hostile investments, export controls, subsidies, all of this is no longer the exception – these are tools for imposition and competition.

Of course, this is not a completely new trend that we are discovering today. We have already seen over the last decade how the lines between national security and economic security imperatives have become blurred. In fact, they have now essentially merged. So this is not new, but it is a clear acceleration and escalation in the way interdependencies are leveraged and weaponised. In the last weeks and months alone, we have seen a rise in drastic export controls on critical inputs. We have seen the systemic use of tariffs and non-trade measures. We have seen global supply chains deployed as a vector for pressure. And we have seen every sector targeted – from energy to data, food to technologies. Europe knows the dangers that lie here. It was a painful crisis when our over-dependency on Russian oil and gas was exposed, following the start of Putin's war on Ukraine. This is a lesson that we can never afford to ignore or to forget. We are now in an era of geoeconomics.

And for Europe, this means business as usual is no longer an option. We need to rethink the way we look at our economic and national security challenges. It means anticipating better and acting faster. It means ensuring that our economies and systems can absorb and adapt to shocks. Achieving this requires adopting a strategic mindset and a new approach. For example, by evaluating our range of assets, opportunities, and risks, and adjusting policies to strengthen our assets, seize opportunities, and counter risks. It also involves preparing our European institutions to anticipate developments, act decisively, and coordinate all our instruments in a consistent and strategic way. We have started this work in earnest. That is why we are advancing a 'Made in Europe' strategy focused on a select set of sectors that are vital to our economic and national security. Whether it is by a complete change of gear on military spending and investment. Or completing the overhaul we need in our energy systems

and supply. Rethinking our industrial policy. Or striking new economic and investment partnerships around the world. In short, we are derisking in the areas which are most sensitive. Making Europe more independent.

Speaking of independence. There are many areas I could pick up. But I want to focus today on one acutely sensitive example which is playing out at this very moment. In recent weeks and months China has dramatically tightened export controls over rare earths and battery materials. At least to some extent, this is part of wider economic friction between China and the United States. But it has a big impact on us here in Europe. We all know how important rare earths are for our industry – whether for cars, semiconductors or military equipment. The decisions announced by the Chinese government on 9 October pose a significant risk. In essence, these actions would severely hamper other countries from developing a rare earths industry. This threatens the stability of global supply chains and will have a direct impact on European companies. If you consider that over 90% of our consumption of rare earth magnets come from imports from China, you see the risks here for Europe and its most strategic industrial sectors. From automotives to industrial motors, defence to aerospace, or AI chips to data centres. In the short term, we are focusing on finding solutions with our Chinese counterparts. But we are ready to use all of the instruments in our toolbox to respond if needed. And we will work with our G7 partners on a coordinated response.

But we also need to look at this as a structural challenge. Our response must match the scale of the risks we face in this area. This is why I can announce that we are working on a new RESourceEU plan – along the lines of the REPowerEU initiative which helped us overcome the energy crisis together. The aim is to secure access to alternative sources of critical raw materials in the short, medium and long term for our European industry. It starts with the circular economy. Not for environmental reasons. But to exploit the critical raw materials already contained in products sold in Europe. Some companies can recycle up to 95% of the critical raw materials in batteries. This means extracting precious raw materials, reducing waste, and promoting sustainable resource management. We will focus on everything from joint purchasing to stockpiling. We will boost investment in strategic projects for the production and processing of critical raw materials here in Europe. We will speed up work on critical raw materials partnerships with countries like Ukraine and Australia, Canada, Kazakhstan, Uzbekistan, Chile or Greenland. And we will invest in projects that Europe can benefit from around the world through Global Gateway. Global Gateway is in our interest, but also in the joint interest of our partners and our common global goods. This marks a departure from Europe's traditional caution – but the world we face today rewards speed, not hesitation. Because today's world is unforgiving. And the global economy is completely different than it was even a few years ago. Europe cannot do things the same way anymore. We learned this lesson painfully with energy; we will not repeat it with critical materials. So it is time to speed up and take the action that is needed. Whether on energy or raw materials, defence or digital, Europe has to strive for its independence. And this is our moment to do it.

Ladies and Gentlemen,

The picture I have painted today is bleak. And it is the speed of fragmentation of the global economy that should set alarm bells ringing. But Europe has a plan – and it is seen as a reliable and attractive economic opportunity for partners the world over. In an era of geoeconomic instability, the EU's offer to the world stands out. In the last year, we reached new trade deals with Mercosur, Mexico, Indonesia and Switzerland. We are in talks with India and want to conclude before the end of the year. We are advancing with the Philippines, Thailand, Malaysia, the UAE – and more. These new partnerships will open up rising markets, boost economic security, and avoid chokepoints in our supply chains. And the point here is, that Europe must use its geoeconomic weight to its advantage and for pursuing its own interests. This is ultimately how Europe can find its place in today's global economy. And it is how it can thrive within this new era of confrontational geoeconomics. Europe has everything it takes to make that happen. But it will require a new mindset – a mindset of urgency, independence and courage. And we will make it happen together.

Long live Europe.

SPEECH/25/2515

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